in 1965–66 and 20 per cent in 1982–83. As India pursued self-reliance and import substitution policies in the first forty years after Independence, fixed capital formation lagged behind the domestic savings rate during this period.

National Savings Rose to Highest Levels Between 1990 and 2010

The 2013–14 Economic Survey reported that India's gross domestic savings rate was 22.9 per cent in 1990–91. The savings rate fell for the next two years and then steadily rose to 25 per cent in 1999–2000. The first decade, until 2007–08, saw a sharp rise in the savings rate. It jumped from 25.9 per cent in 2002–03 to 29 per cent in 2003–04 and again to 32.4 per cent in 2004–05, an increase of 6.5 per cent in two years, the highest jump ever recorded in the history of India. After increasing by about 1 per cent annually for the next two years, it crossed 35 per cent and rose to 36.8 per cent, the highest savings rate recorded to date in the country, before peaking.

In the 1990s, India started opening up to foreign savings and investments. Fixed capital formation rose sharper than the domestic savings rate. India's capital formation went past 25 per cent in 1995–96, 30 per cent in 2004–05 and peaked at 38.1 per cent in 2007–08. GFCF was also higher than 30 per cent every year since 2005–06 till the end of the decade, with the peak rate of 32.9 per cent recorded in 2007–08. In 2007–08, the year of the global financial crisis, India witnessed its highest savings rate, highest gross capital formation rate and highest GFCF rate. Savings supported a massive investment binge.

Domestic Savings Rose Steadily Over Sixty Years

There are statistical base revisions almost every decade. The 2019–20 Economic Survey provides details of gross savings rate, gross capital